FIDELITY & GUARANTY LIFE AND SUBSIDIARIES
CONDENSED CONSOLIDATED BALANCE SHEETS
(In thousands, except share data)

	December 31, 2013	September 30, 2013
	(Unaudited)	
ASSETS		
Investments:		
Fixed maturities securities, available-for-sale, at fair value	$ 16,327,617	$ 15,541,526
Equity securities, available-for-sale, at fair value	286,922	271,075
Derivative investments	294,531	221,758
Other invested assets	316,552	188,180
Total investments	17,225,622	16,222,539
Related party loans and investments	96,442	119,044
Cash and cash equivalents	759,471	1,204,334
Accrued investment income	157,785	159,287
Reinsurance recoverable	3,723,693	3,728,632
Intangibles, net	601,444	563,758
Deferred tax assets	225,908	226,351
Other assets	155,292	205,230
Total assets	$ 22,945,657	$ 22,429,175
LIABILITIES AND SHAREHOLDER'S EQUITY		
Contractholder funds	$ 15,519,722	$ 15,248,216
Future policy benefits	3,545,881	3,556,808
Funds withheld for reinsurance liabilities	1,381,238	1,407,713
Liability for policy and contract claims	60,331	51,456
Long-term debt	300,000	300,000
Other liabilities	806,662	700,097
Total liabilities	21,613,834	21,264,290
Shareholder's equity:		
Common stock ($.01 par value, 500,000,000 shares authorized, 58,270,822 issued and outstanding at December 31, 2013; 47,000,000 shares issued and outstanding at September 30, 2013)	583	—
Additional paid-in capital	700,528	527,124
Retained earnings	524,572	524,871
Accumulated other comprehensive income	106,140	112,890
Total shareholder's equity	1,331,823	1,164,885
Total liabilities and shareholder's equity	$ 22,945,657	$ 22,429,175

FIDELITY & GUARANTY LIFE AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS
(In thousands, except share data)

	Three months ended	
	December 31, 2013	December 31, 2012
	(Unaudited)	
Revenues:		
Premiums	$ 13,705	$ 13,796
Net investment income	183,437	170,298
Net investment gains	123,417	146,475
Insurance and investment product fees and other	15,552	13,729
Total revenues	336,111	344,298
Benefits and expenses:		
Benefits and other changes in policy reserves	216,856	83,644
Acquisition and operating expenses, net of deferrals	26,004	26,914
Amortization of intangibles	22,892	69,511
Total benefits and expenses	265,752	180,069
Operating income	70,359	164,229
Interest expense	(5,624)	(34)
Other income	—	225
Income before income taxes	64,735	164,420
Income tax expense	22,041	53,815
Net income	$ 42,694	$ 110,605
Net income per common share:		
Basic	$ 0.87	$ 2.35
Diluted	$ 0.87	$ 2.35
Weighted average common shares used in computing net income per common share:		
Basic	49,142,208	47,000,000
Diluted	49,263,675	47,000,000
Supplemental disclosures:		
Total other-than-temporary impairments	$ (34)	$ (509)
Less non-credit portion of other-than-temporary impairments included in other comprehensive income	—	—
Net other-than-temporary impairments	(34)	(509)
Gains (losses) on derivative instruments	111,538	(25,568)
Other realized investment gains	11,913	172,552
Total net investment gains	$ 123,417	$ 146,475

FIDELITY & GUARANTY LIFE AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In thousands)

	Three months ended	
	December 31, 2013	December 31, 2012
	(Unaudited)	
Net income	$ 42,694	$ 110,605
Other comprehensive income		
Unrealized investment (losses) gains:		
Changes in unrealized investment (losses) gains before reclassification adjustment	(10,275)	126,252
Net reclassification adjustment for (gains) included in net investment gains	(8,134)	(172,043)
Changes in unrealized investment (losses) after reclassification adjustment	(18,409)	(45,791)
Adjustments to intangible assets	8,026	27,961
Changes in deferred income tax asset/liability	3,633	6,241
Net change to derive comprehensive income (loss) for the period	(6,750)	(11,589)
Comprehensive income, net of tax	$ 35,944	$ 99,016

FIDELITY & GUARANTY LIFE AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF CHANGES IN SHAREHOLDER'S EQUITY
(In thousands)

(in thousands)	Common Stock	Additional Paid-in Capital/ Contributed Capital	Retained Earnings	Accumulated Other Comprehensive Income (Loss)	Total Shareholder's Equity
Balance, September 30, 2012	$ —	$ 415,576	$ 440,723	$ 434,482	$ 1,290,781
Capital contributions from Harbinger Group Inc.	—	111,711	—	—	111,711
Dividends	—	—	(93,654)	—	(93,654)
Distributions to Harbinger Group Inc. and subsidiaries	—	—	(169,859)	—	(169,859)
Net income	—	—	347,661	—	347,661
Unrealized investment losses, net	—	—	—	(321,592)	(321,592)
Stock compensation	—	(163)	—	—	(163)
Balance, September 30, 2013	$ —	$ 527,124	$ 524,871	$ 112,890	$ 1,164,885
Dividends	—	—	(42,993)	—	(42,993)
Issuance of common stock	583	(583)	—	—	—
Proceeds from issuance of common stock, net of transaction fees	—	172,996	—	—	172,996
Net income	—	—	42,694	—	42,694
Unrealized investment losses, net	—	—	—	(6,750)	(6,750)
Stock compensation	—	991	—	—	991
Balance, December 31, 2013	$ 583	$ 700,528	$ 524,572	$ 106,140	$ 1,331,823